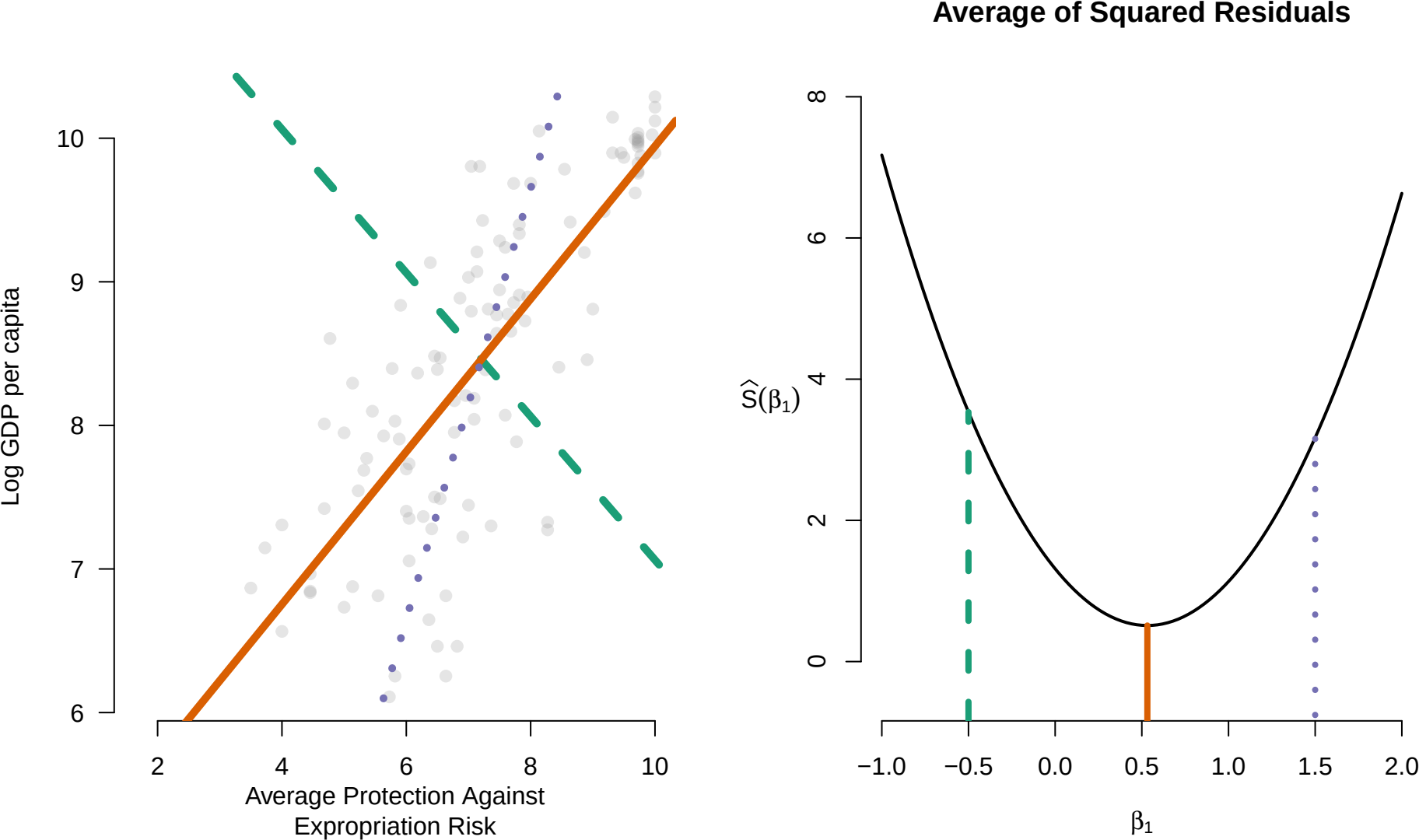
Log GDP per capita
10
9
8
7
6
2
4
6
8
10
Average Protection Against
Expropriation Risk
Average of Squared Residuals
$\widehat{S}(\beta_1)$
8
6
4
2
0
−1.0
−0.5
0.0
0.5
1.0
1.5
2.0
β_1